

## PHARMACY BENEFIT REVIEW • TWICE-YEARLY FRAMEWORK

# Pharmacy Benefit Review. *Twice a Year. Six Categories. Twenty Audit Items.*

The framework PBS uses on the semi-annual PBR engagement, formatted as a self-service audit checklist for plan sponsors who want to run it internally.

This is the self-service version of the Pharmacy Benefit Review (PBR) — a twice-yearly comprehensive audit PBS runs for clients across six categories of pharmacy benefit performance. Each category has three to four audit items. Run the full framework in mid-year (June-July) and again at year-end (November-December) to surface the patterns that decide your renewal position. PBS clients receive a written PBR report; plan sponsors running this internally produce the same artifact.

## 01 Run the six-category audit

Each PBR audit covers six categories with the prompts below. Score each item 1-5; the rubric and the dollar magnitude live in the per-mechanic Toolkit handouts (Channel Pricing, Rebate Audit, GER Audit, etc.).

**1. Financial Performance:** PMPM trend vs. budget · GER vs. guarantee · BER vs. guarantee · Rebate per claim trend.

**2. Contract Compliance:** Performance guarantee misses · Mid-year notification record · Reporting clause delivery · Disclosure obligation fulfillment.

**3. Clinical Programs:** PA approval/denial rate · Step therapy override rate · Specialty utilization trend · Clinical-program-claimed savings audit.

## 02 Continue the audit (Categories 4-6)

**4. Member Experience:** Member-disruption events documented · Continuity-of-care window honored · Transition supply provisioned · Member-cost-share trend.

**5. Vendor Management:** Account team responsiveness · Issue resolution timeliness · Quarterly review quality · Account team turnover.

**6. Strategic Position:** Network configuration drift · Definition variance across renewals · Termination clause leverage · Renewal readiness scorecard total.

## 03 Score and interpret

Total score across all 20 items: 20-100. Interpretation:

**Below 50:** meaningful unrealized cost containment + member experience risk; bring full audit findings to the next renewal cycle.

**50-70:** mixed results, focus the next 90 days on the lowest-scoring category.

**Above 70:** strong PBM oversight position; document the wins, refresh the audit at the next half-year review, and shift focus to renewal readiness.

## 04 The Pattern PBS Sees Most Often

**Across approximately 100 PBM contract reviews and audits annually at PBS:** the plan sponsors who run a structured semi-annual PBR (with this framework or one like it) walk into renewal with documented gaps that move terms. The plan sponsors who do not run the audit walk into renewal with the PBM's summary report as their only reference and inherit the PBM's frame.

## 05 Paste-Ready: Send to Your Broker or PBM

### PBR DATA REQUEST · TO PBM + BROKER

Subject: Semi-Annual Pharmacy Benefit Review – data package

Please provide the following data covering the past six months:

#### Financial Performance:

1. PMPM trend by month, with budget and prior-year comparison
2. GER and BER quarterly performance vs. contracted guarantee
3. Rebate per brand claim trend by channel (retail/mail/specialty)

#### Contract Compliance:

4. Performance guarantee scorecard for the period
5. List of every annual disclosure delivered (rebate attestation, conflict-of-interest, data-partnership, audit-results, material-change notice)
6. Mid-year written-notification record for any miss

#### Clinical Programs:

7. PA approval/denial rate by therapeutic class
8. Step therapy override rate by class
9. Clinical-program savings methodology (one sample calculation per reported program)

#### Member Experience:

10. Member-disruption events documented (formulary changes, network changes, PA criteria changes) with continuity-of-care delivery confirmation
11. Transition supply provisioning record

#### Vendor Management:

12. Issue resolution timeliness log
13. Account team continuity (any turnover)

#### Strategic Position:

14. Current pharmacy network membership list and 12-month exclusion log
15. Termination, renewal, and amendment clause status

Delivery requested within 21 business days. Output goes into the Plan Sponsor's semi-annual Pharmacy Benefit Review.

## 06 This Quarter's Action Plan

### MID-YEAR PBR · JUNE-JULY

#### Pull the six-category data + score the framework

Use this checklist alongside the per-mechanic Toolkit handouts. The Channel Pricing, Rebate Audit, GER Audit, PBM Compensation, and Specialty Routing Toolkits all feed into the financial performance and contract compliance categories.

### YEAR-END PBR · NOVEMBER-DECEMBER

#### Re-run the framework + write the year-over-year comparison